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EQUITY NOTE · LUXURY GOODS · 30 OCTOBER 2026

Hermès

RMS FP · Euronext Paris · ISIN FR0000052292 · Leather goods, fashion, luxury

The best house in luxury is still priced for a growth rate it no longer shows: even after a 45% fall, the shares discount more than our base case.

RATING

Reduce

Target price	€871
Price (29/10/2026)	€1,266
Potential	−31%
P/E 2026E	26.9x

01 Investment thesis

We initiate on Hermès with a REDUCE rating and a target price of €871, 31% below the 29 October close of €1,266. Hermès remains the most profitable company in luxury, with a 41% operating margin and €10bn of net cash. The issue is price, not quality: at 27× 2026 earnings the shares still require a discount rate of about 8.3%, well below the 10.6% cost of equity we derive from French government yields.

Three reasons

- **Growth has slowed to mid-single digits.** Q3 revenue grew 4.3% at constant currency, the weakest quarter since 2020 and below the 5.2% expected. Ready-to-wear fell 2% and the Middle East fell 4.5%.

- **Currency is eating the growth.** Nine-month revenue rose 6.0% at constant rates but only 2.9% in euros. With the dollar weak, reported growth and margins are under pressure in 2026.
- **The premium to peers is still wide.** Hermès trades at 17x EBITDA against a peer median of 9.8x. Even the best peer, Richemont, is at 16x with jewellery growing above 20%.

> WHAT WOULD MAKE US WRONG
>
> Hermès has traded at a premium for twenty years and has rarely disappointed for long. A return to double-digit leather-goods growth in 2027, helped by new workshops and price increases, or a fall in European interest rates, would lift our value quickly: at an 8.6% discount rate our DCF gives €1,209.

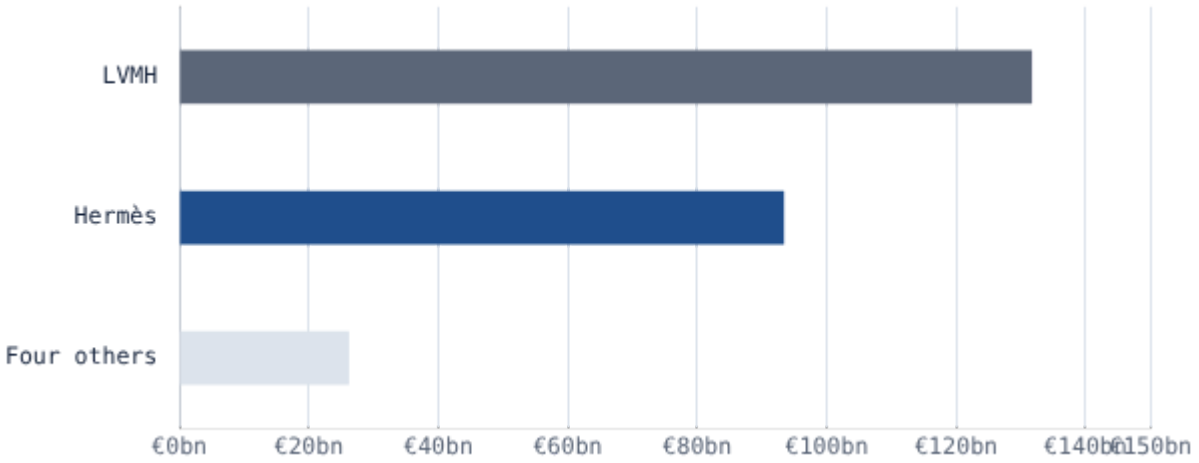
INDICATOR	VALUE	BASIS
P/E	26.9x	2026E EPS €47.0
EV / EBITDA	17.4x	EBITDA LTM €7.06bn
EV / Sales	7.4x	2026E revenue €16.5bn
Dividend yield	1.4%	€18.00 for FY2025
Free cash flow yield	3.5%	FCF 2025 €4.67bn
Net cash	€10.0bn	about 8% of market cap

02 The surprise: even Hermès can disappoint

On 22 October Hermès reported Q3 revenue of €4.10bn, up 4.3% at constant currency against market expectations of about 5.2%. Leather goods still grew 10.8%, but ready-to-wear and accessories fell 2%, and the Middle East fell 4.5% with tourism hit by the regional conflict. The shares fell more than 7% on the day and another 4% the next day, when Kering dropped 17% and Richemont 6%.

The fall is part of a sector re-rating. According to the Financial Times, Europe's six largest luxury groups have lost €251bn of market value in 2026, and LVMH and Hermès account for nearly 90% of it. Hermès shares are down about 44% over twelve months, from a 52-week high of €2,300.

Exhibit 1 **Market value lost in 2026 by Europe's largest luxury groups (€bn)**



Financial Times calculation reported on 25 October 2026 via The Middle East Observer. "Four others" = Richemont, Kering, Prada and Moncler combined (derived as the remainder).

Q3 2026	GROWTH (CONSTANT FX)	COMMENT
Group revenue (€4.10bn)	**+4.3%**	**Consensus about +5.2%**
Leather goods & saddlery (€1.91bn)	+10.8%	Still the growth engine
Ready-to-wear & accessories	−2.0%	Weakest division
Americas	+8.8%	Best region
Middle East	−4.5%	Conflict hits tourism
Nine months (€12.26bn)	+6.0%	+2.9% at current exchange rates

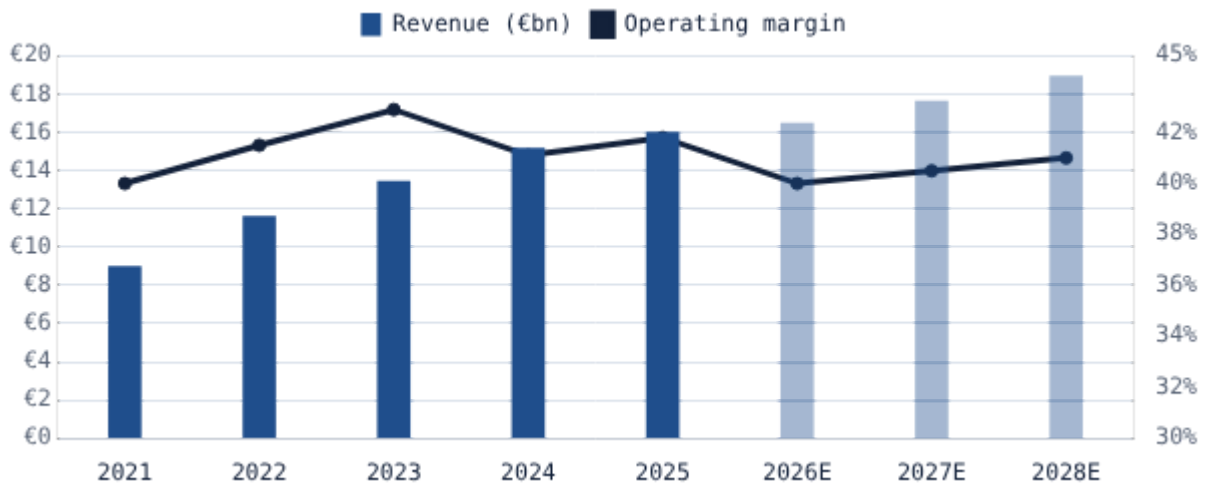
03 Ten-year history and estimates

Hermès is a rare case of growth without acquisitions. Revenue tripled from €5.2bn in 2016 to €16.0bn in 2025 (13.3% a year) and the operating margin rose from 32.6% to 41%. The workforce doubled from 12,834 to 26,494, mostly artisans trained in the group's own schools. Growth came from opening leather workshops in France, about one a year (the 24th opened in 2025), and from steady price increases.

€M, EXCEPT PER SHARE	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E
Revenue	**8,982**	**11,602**	**13,427**	**15,170**	**16,002**	**16,470**	**17,623**	**18,945**
Growth (reported)	+41%	+29%	+16%	+13%	+5.5%	+2.9%	+7.0%	+7.5%
Operating income	3,596	4,820	5,755	6,231	6,696	6,588	7,137	7,767
Operating margin	40.0%	41.5%	42.9%	41.1%	41.8%	40.0%	40.5%	41.0%
Net income (group share)	2,445	3,367	4,311	4,603	4,524	4,920	5,360	5,810
EPS (€)	23.30	32.09	41.12	43.87	43.07	47.0	51.2	55.5
Dividend per share (€)	8.00	13.00	15.00	16.00	18.00	19.00	20.50	22.00

A = reported (StockAnalysis, company releases), E = Puccetti Capital Research estimate. Operating income as reported by StockAnalysis; the company's recurring operating margin for 2025 is 41.0%. 2025 net income includes a one-off French surtax on large companies.

Exhibit 2 **Revenue (€bn) and operating margin**



Key investments and events

- **2016:** €5.2bn revenue, 32.6% margin, 12,834 employees.
- **2020:** Covid, revenue −7%, the only down year of the decade.
- **2021-2023:** post-Covid boom, revenue +41% then +29%.
- **2024:** capex peaks at €1.07bn for new workshops and stores.
- **2025:** 24th leather workshop opens; €3,000 bonus to every employee.
- **2026:** four more workshops planned to 2030 (Loupes, Charleville-Mézières, Colombelles, Les Andelys).

04 Cash flow and balance sheet

€M	2023A	2024A	2025A
Operating cash flow	4,328	5,139	5,374
Capex	−578	−1,067	−708
Free cash flow	**3,750**	**4,072**	**4,666**
Dividends paid	−1,376	−1,595	−1,705
Share buybacks	−130	−37	−8
FCF conversion (FCF / net income)	87%	88%	103%

Hermès has no financial debt and holds about €10bn of net cash. It converts almost all its profit into free cash flow, and pays out only about 42% as ordinary dividends, so cash keeps building. Liquidity is not a risk.

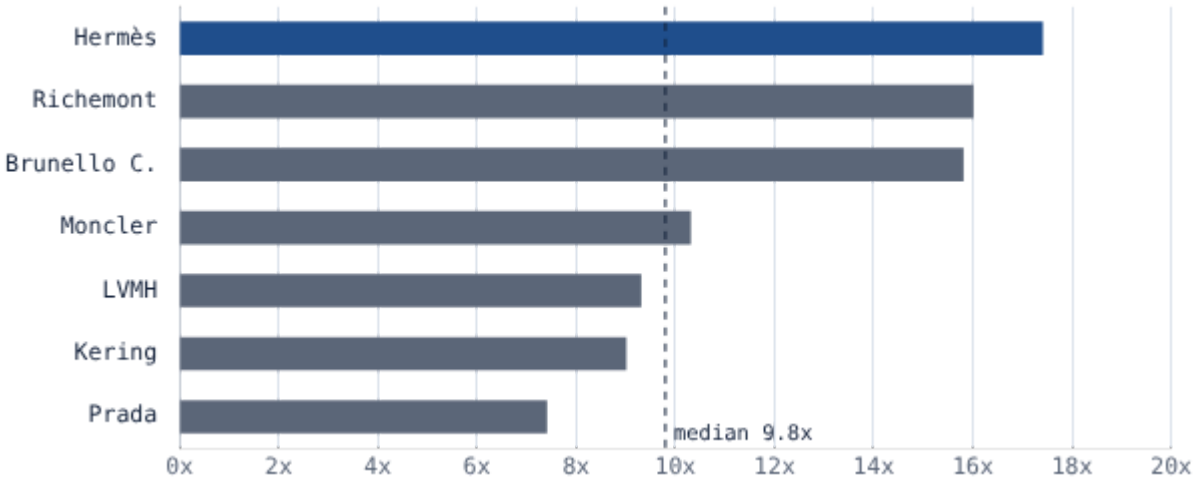
The large cash pile also explains the low return on capital figures some screens show: €10bn earning interest dilutes a business that earns over 40% on its operating assets.

05 Trading comparables

COMPANY	COUNTRY	EV/EBITDA	P/E (FWD)	EV/SALES	DIV. YIELD
Hermès	**France**	**17.4x**	**26.9x**	**7.4x**	**1.4%**
LVMH	France	9.3x	16.5x	2.7x	3.4%
Kering	France	9.0x	21.3x	2.2x	1.7%
Richemont	Switzerland	16.0x	22.6x	4.4x	2.0%
Brunello Cucinelli	Italy	15.8x	35.6x	4.8x	1.2%
Moncler	Italy	10.3x	17.6x	3.7x	3.3%
Prada	Italy / HK	7.4x	13.8x	2.5x	4.0%
Median (peers)		**9.8x**	**19.4x**	**3.2x**	**2.6%**

StockAnalysis, 16-26 October 2026 (Prada 29 September). Hermès multiples at the 29 October price.

Exhibit 3 **EV/EBITDA, Hermès against peers**



Applying the peer median of 9.8x to Hermès' €7.06bn EBITDA gives €755 per share; the forward P/E median of 19.4x gives €913. Using the upper quartile instead (15.8x EBITDA, 22.6x P/E) gives €1,161 and €1,062. Even with that premium the shares look expensive against peers.

Hermès deserves a premium for its margin and its record, so comparables carry only 40% of our target together.

06 DCF: Base, Bull and Bear

PARAMETER	VALUE
Risk-free rate (French 10-year OAT)	4.95%
Equity risk premium	5.50%
Beta (5-year 1.04, Blume-adjusted)	1.03
WACC (no debt, so = cost of equity)	**10.6%**
Tax rate (incl. French surtax)	28%
D&A / capex / working capital	4.5% / 5.5% / 15% of Δ sales

SCENARIO	GROWTH 2027-30	MARGIN	G	VALUE
Bear	3.5-4.0%	38%	3.0%	€698
Base	**7.0-7.5%**	**41%**	**3.5%**	**€896**
Bull	9-10%	42%	4.0%	€1,053

In the base case revenue grows about 7% a year to 2030, then slows to 3.5% by 2035, with the margin back at 41%. Enterprise value is €83.8bn (56% from the

terminal value), plus €10.0bn of net cash, or €896 per share. The implied exit multiple is 9.0x EBITDA, close to today's peer median.

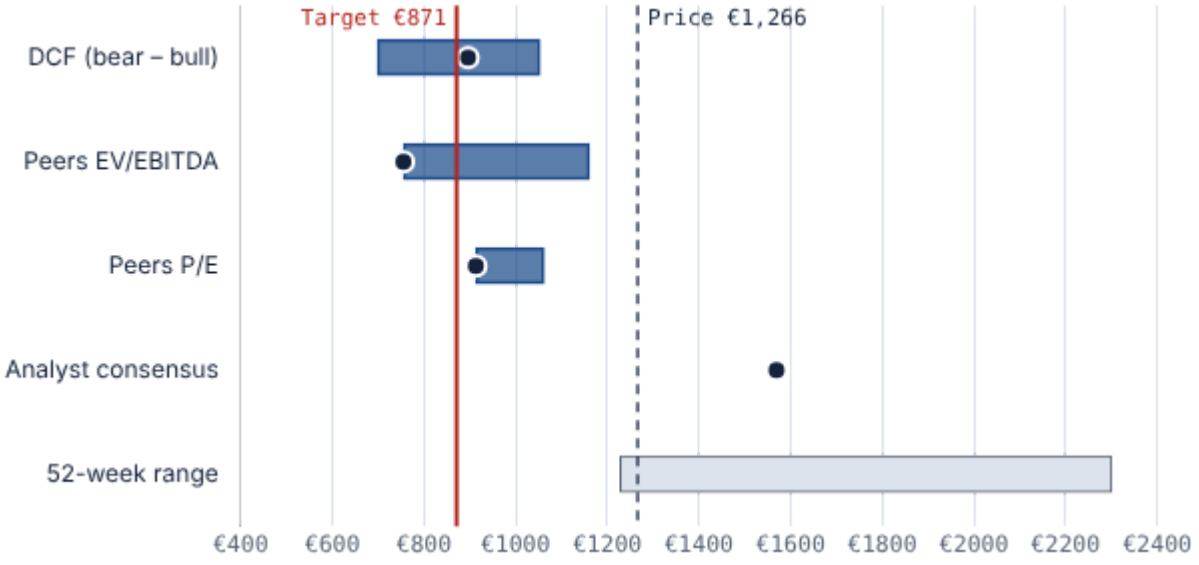
Exhibit 4 **Sensitivity: value per share (€) by WACC and terminal growth**

WACC \ G	2.5%	3.0%	3.5%	4.0%	4.5%
8.6%	1,082	1,140	1,209	1,293	1,397
9.6%	942	981	1,026	1,080	1,144
10.6%	836	864	**896**	932	975
11.6%	754	774	797	823	853
12.6%	688	704	721	740	761

The current price of €1,266 is only reached with a WACC of about 8.3% at 3.5% growth, or a WACC of 8.6% with growth above 4%.

07 Target price and recommendation

Exhibit 5 **Valuation range by method (€ per share)**



Bars: low to high. Dot: central value. Dashed line: price €1,266. Solid line: target €871.

METHOD	CENTRAL	WEIGHT	LOW	HIGH	POTENTIAL
DCF (base)	€896	60%	€698	€1,053	−29%
Peers EV/EBITDA	€755	20%	€755	€1,161	−40%
Peers P/E	€913	20%	€913	€1,062	−28%
Dividend model (memo)	*€305*	*0%*	*n/a*	*n/a*	*n/a*
Target price (weighted)	**€871**	**100%**			**−31%**

We exclude the dividend model: with a payout of only 42% and €10bn of retained cash, it misses most of the value. Comparables ranges run from the peer median to the upper quartile, to reflect the premium Hermès has always earned.

> RECOMMENDATION · REDUCE · TARGET €871
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> Our view is far from consensus: the 23 analysts tracked by StockAnalysis have an average target of about €1,569 and a Buy rating. The difference is mainly the discount rate. Our method uses French government yields near 5%; most brokers use a lower, euro-area rate. We would turn more positive below €950 or if growth returned above 8% at constant currency.

08 Risks and catalysts

Upside risks to our view

- **Lower rates.** Each point less on the discount rate adds about €130 per share.
- **Leather-goods supply.** New workshops lift production by about 6% a year, and demand still exceeds supply.
- **Pricing power.** Another price increase is announced for 2027.

Catalysts

- **FY2026 results, 12 February 2027:** margin after the currency hit.
- **China and Middle East demand** in Q4, the key season.
- **French budget and OAT yields,** which drive our cost of capital.

Method and sources. Reported figures from Hermès releases and StockAnalysis; estimates are our own. Peer data from StockAnalysis at the dates shown, not adjusted for accounting differences.

Disclosure. Academic exercise by Mattia Puccetti, BBA student at EDHEC Business School. The author holds no position in Hermès. Not investment advice.

1. Q3 2026 revenue · market reaction · FY2025 results · FY2016 results
2. Luxury value lost (FT data) · price 29/10/2026 · RMS statistics · financials · cash flow
3. Peers: LVMH · Kering · Richemont · Brunello Cucinelli · Moncler · Prada · French OAT